

complaint

Mrs A has complained about St Andrew's Insurance Plc's handling of her claim made for subsidence to her conservatory under her home insurance policy.

background

I have previously issued a provisional decision regarding this complaint. The following represents excerpts from my provisional decision outlining the background to this complaint and my provisional findings, and forms part of this final decision:

"In June 2011 Mrs A contacted St Andrew's to report that she had noticed cracking where her conservatory joins her house. St Andrew's appointed a surveyor who issued a letter in July 2011 concluding that subsidence had caused this damage, triggered by shrinkage of the clay soil supporting the conservatory's foundation. The surveyor proposed the removal of Mrs A's neighbour's nearby hedge to help stabilise the ground.

The surveyor also stated that the conservatory walls were not level, and concluded that they had settled prior to St Andrew's providing insurance cover for the property in 2003. He told Mrs A that St Andrew's was not liable for re-levelling these walls as this movement had occurred prior to the date when it had started to provide insurance cover at the property. In terms of the current subsidence damage, the surveyor estimated the cost of repair to be less than the excess applicable to subsidence claims under the policy of £1,100.

Mrs A disagreed with the surveyor's conclusions. She stated that when she bought her house in 2000 there was no evidence of subsidence, and her view was that all movement had taken place since St Andrew's had started to provide insurance from 2003.

St Andrew's arranged for another surveyor to inspect the property. The second surveyor issued a letter in August 2011 stating that damage to the conservatory "has been caused by a combination of historic settlement and more recent but very slight subsidence movement due to clay shrinkage and tree root action." He stated that both the historic settlement and works to repair it had taken place prior to the date that St Andrew's started to provide insurance cover at the property, and concluded that St Andrew's was not liable for this damage

In terms of the more recent subsidence movement which the surveyor confirmed would be covered by the St Andrew's policy, the surveyor recommended that the neighbour's hedge be removed. He proposed that lead flashing on the conservatory roof would then need to be repaired, along with the rebuilding of a small section of the conservatory brick wall adjacent to the main house, with movement joints being fitted to the conservatory wall/main house junction. The surveyor also recommended that a gap between the conservatory floor slab and main house be filled with mastic. He estimated the cost of repair to be less than the subsidence policy excess, and informed Mrs A that she should arrange for the removal of the hedge and subsequent repair works to be carried out.

Mrs A disputed that the current subsidence movement was only slight. She has stated that she first noted cracking around 2008 to 2009, and used mastic to fill gaps between the conservatory walls and the house. However, these gaps later reappeared, resulting in her making her insurance claim. Dissatisfied that St Andrew's was not willing to offer to underpin or rebuild her conservatory, Mrs A brought her complaint to this service.

Whilst our adjudicator investigated this complaint, St Andrew's arranged for soil samples to be undertaken at the site. Its surveyor stated that this was to "establish [the] precise cause" of the movement. During this time, Mrs A forwarded a copy of the valuation report carried out when she purchased her home in 2000, under which it was noted that there was "no patent evidence" of subsidence at this time.

The adjudicator did not uphold this complaint. His view was that there was evidence to indicate that the conservatory glass and frame had been repaired in the past through the insertion of wedges to lift them up into a level position, and that this was likely to have occurred prior to St Andrew's providing cover at the property. The adjudicator stated that this evidence of pre-existing damage to the conservatory meant that it would not be reasonable to require St Andrew's to demolish the conservatory and rebuild it.

The adjudicator agreed that St Andrew's is liable for the subsidence damage that has occurred since it started to provide cover, but considered the scope of works it had identified to repair this damage was reasonable. He expressed doubt as to whether these proposed repairs could be carried out at the estimated cost calculated by St Andrew's of £445.62, but considered it was still likely that the repairs would cost less than the subsidence excess of £1,100.

Mrs A did not agree with the adjudicator's findings. She has stated that her conservatory is continuing to move, and is unhappy that St Andrew's has made no attempt to monitor this. She has also questioned whether an escape of water from the drains may be responsible for the subsidence.

Mrs A states that she has approached various parties to enquire about the possibility of carrying out the works that St Andrew's has suggested to repair the subsidence damage. She has however been unable to obtain quotations, being informed that these works will not solve the problem of the movement at her property.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Both surveyors who attended Mrs A's property following her initial claim accepted that the conservatory had suffered damage caused by subsidence since 2003, when St Andrew's started to provide insurance cover. The dispute between Mrs A and St Andrew's relates to how to reinstate this part of the buildings. Mrs A states that the conservatory continues to move, and has requested that it be demolished and rebuilt to prevent on-going movement taking place. St Andrew's considers its liability extends only to the limited scope of works that it has identified, and states that the cost of these repairs is less than the subsidence policy excess.

Having inspected the property in July 2011, both St Andrew's surveyors stated that the likely cause of the subsidence damage was clay shrinkage caused by Mrs A's neighbour's hedge. It was not until Mrs A brought a complaint to this service that St Andrew's arranged for a soil sample to be taken from the site. As I understand it, no monitoring has been carried out at Mrs A's property, despite Mrs A's comments that movement is on-going.

In response to our adjudicator's recent assessment of this complaint, one of St Andrew's surveyors has provided further comments about the claim made. He has noted that the

analysis of the roots taken from the soil sample was “not conclusive or indeed significantly suggestive of the hedge. I recall reading that the roots were poor, small, dead.” Having read the root identification report provided by St Andrew’s, I would agree with the surveyor’s comments. The surveyor also noted that the soil analysis “does not indicate that the soil is desiccated at all, and thus any ‘progressive’ deterioration is not as a result of clay shrinkage.”

Taking these comments into account, on balance it seems that the cause of the subsidence damage that has occurred since St Andrew’s has been providing cover is not clay shrinkage resulting from the actions of the neighbour’s hedge, as was initially concluded by St Andrew’s. In his recent e-mail, St Andrew’s surveyor has also stated that the conservatory “surely suffered initial settlement, although there probably has been nominal subsidence as a result of soil shrinkage in later years.” Having considered the submissions which have been made, it seems to me that at present St Andrew’s simply does not know what is currently causing subsidence damage to the conservatory.

Without identifying the cause of the subsidence damage, my view is that St Andrew’s is not able to determine the extent of its liability under the policy for this damage. I do not consider that St Andrew’s can reasonably state that the proposed scope of works that it has produced represents an effective repair for the subsidence damage without carrying out a proper investigation to determine the cause of the subsidence movement. As a result, I currently consider that St Andrew’s should now carry out an appropriate investigation of the subsidence damage to determine its cause, so that it can then determine what works need to be undertaken to ensure an effective repair.

I appreciate that Mrs A has asked that St Andrew’s demolish and rebuild her conservatory. At present, I do not consider that a sufficient investigation of the cause of the subsidence damage has been carried out to determine whether the conservatory will need to be rebuilt in order for St Andrew’s to ensure an effective repair of the insured damage. I do however consider that the failure of St Andrew’s to properly investigate this claim has caused Mrs A unnecessary distress and inconvenience.

Mrs A initially made her claim to St Andrew’s in June 2011. It was not until Mrs A brought her complaint to this service that St Andrew’s carried out a soil sample to ascertain whether its initial assumption regarding the cause of damage being a neighbouring hedge was correct.

The soil sample would indicate that it was not, but this level of investigation could have been carried out some time ago. In the meantime, Mrs A states that she has witnessed the gap between her conservatory and the main part of her house widening, and she has confirmed the concern that this has caused her.

Awards made by this service in respect of distress and inconvenience caused by a business are in general modest. Taking into account the circumstances of this complaint, I consider that St Andrew’s handling of this claim has caused Mrs A significant distress, and I currently intend to award £500 to reflect this.”

responses to my provisional decision

Mrs A confirmed that she accepted my provisional decision.

St Andrew’s suggested that there may have been a misunderstanding of the investigations that had been carried out at Mrs A’s property, and provided further comments from one of its

surveyors. The surveyor has stated that its site investigations show that the conservatory is built on shallow foundations over made ground and then shrinkable soil. He has reiterated St Andrew's view that the conservatory suffered from movement prior to St Andrew's providing cover at the property, highlighting the evidence of previous repairs having been carried out.

The surveyor has stated that more recent movement of the conservatory is the result of shrinkage of both the made and deeper soils, and that this has been aggravated by the moisture demands of nearby vegetation. The surveyor has pointed out that shrinkable soils can rehydrate following wet weather, or following the removal of vegetation. As site investigations were carried out in 2012 during one of the wettest years on record, the surveyor has commented that it is no surprise that testing showed the soils to be rehydrated at this time.

With regard to the possibility of demolishing and rebuilding the conservatory, the surveyor has stated that to stop further damage occurring, the foundations should be made deeper and vegetation removed. However, the surveyor argues that such changes to the specification of the conservatory would represent betterment, and would fall outside the scope of cover provided by the insurance policy.

The surveyor concludes by suggesting that there has not been a failure in the investigation of this subsidence claim that has caused Mrs A distress and inconvenience, but that instead the problems with the claim result from shortfalls in the original construction of the conservatory, and a failure to accept that evidence of repairs shows the conservatory had previously suffered from movement. On behalf of St Andrew's, the surveyor has stated that it should be recognised that a full investigation of Mrs A's subsidence claim has been carried out.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

St Andrew's further submissions have centred on its contention that it has handled Mrs A's subsidence claim in an appropriate manner. I acknowledge the surveyor's comments that 2012 was one of the wettest years on record, and that this is likely to have affected the soil samples taken at this time. However, whilst in his recent comments the surveyor has suggested that these soil samples do not prove the absence of an on-going influence of vegetation upon the foundations of the conservatory, this seems to have been the conclusion reached by one of St Andrew's surveyors previously, as I noted in my provisional decision.

I remain of the opinion that St Andrew's is yet to determine the cause of the current subsidence damage to the conservatory, and so is unable as yet to determine its liability under the policy. Consequently, I consider St Andrew's should now carry out an appropriate investigation of the subsidence damage to determine its cause.

St Andrew's has commented that it would not be liable to provide deeper foundations to the conservatory if it is determined that it needs to be demolished and rebuilt, as this would represent betterment. My provisional decision confirmed that I did not consider a sufficient investigation of the cause of the subsidence had been carried out to determine whether the conservatory would need to be rebuilt. However, in my view the key issue to determine is how to carry out an effective and permanent repair to prevent movement reoccurring.

Although I currently consider that the cause of the subsidence movement is unclear, it may be that to carry out an effective repair, St Andrew's will need to install a conservatory with a different specification to that currently in place.

St Andrew's has suggested that it has dealt with Mrs A's subsidence claim in an appropriate manner. My view remains that the timescales taken to progress the claim have not been reasonable, due to what seems to have been a reluctance on St Andrew's part to carry out comprehensive investigations to determine the cause of the subsidence damage. I consider that this has caused Mrs A unnecessary distress and inconvenience, and that a payment of £500 under this heading is appropriate in the circumstances of this complaint.

my final decision

My final decision is that I uphold this complaint, and require St Andrew's Insurance Plc to reassess the claim made by carrying out appropriate investigations of the subsidence damage to determine its cause. St Andrew's Insurance Plc should then reassess what works need to be undertaken to ensure an effective repair.

I also require St Andrew's Insurance Plc to pay Mrs A £500 to reflect the distress and inconvenience its handling of the claim has caused her.

John Swain
ombudsman